IB DP Business Management

COMPLETE CHEAT SHEET

Full Syllabus | HL + SL | Score a 7

Business Org • HRM • Finance • Marketing • Operations • HL Extensions

20 Pages • All Topics Covered • All Formulas Included • HL Extensions

HOW TO USE THIS CHEAT SHEET

Designed for IB DP Business Management students targeting a 6 or 7. Use this for:

- Fast topic review between exam practice papers
- Night-before revision — every concept, formula, and diagram in one place
- Checking IB command-term responses and evaluation structures
- HL students: teal/dark green boxes contain HL-only content

SYLLABUS MAP — COMPLETE TOPIC OVERVIEW

#	Topic	Pages	Key Content
Section 1	**Business Organization & Environment**	Pages 3–5	Business types, growth, PESTLE, SWOT
Section 2	**Human Resource Management**	Pages 6–7	Motivation, leadership, org structure
Section 3	**Finance & Accounts**	Pages 8–10	Ratios, formulas, break-even analysis
Section 4	**Marketing**	Pages 11–12	4Ps/7Ps, segmentation, PLC, branding
Section 5	**Operations Management**	Pages 13–14	Production, quality, lean methods
Section 6	**HL Extensions**	Pages 15–16	Advanced finance, strategy, global business
Exam Mastery	**Strategy, Terms & Revision**	Pages 17–20	Mistakes, command terms, checklists

HOW TO READ THE BOXES

- BLUE boxes = Exam Tips — what IB actually tests in papers
- RED boxes = Common Mistakes — errors that cost marks
- GREEN boxes = Quick Recall — flash-card style summaries
- GREEN/TEAL boxes = HL Only content
- PROS/CONS boxes = Evaluation practice — always needed for Discuss/Evaluate questions

SECTION 1 — BUSINESS ORGANIZATION & ENVIRONMENT

TYPES OF BUSINESS ORGANIZATION

TYPE	KEY FEATURES	ADVANTAGES / DISADVANTAGES
Sole Trader	One owner; unlimited liability; all profit kept	Easy to set up; full control — but: unlimited liability, hard to raise capital
Partnership	2–20 partners; shared liability (unless LLP); deed of partnership	Shared workload, more capital — but: unlimited liability, disagreements
Private Ltd Co (Ltd)	Separate legal entity; limited liability; shares sold privately	Limited liability, continuity — but: accounts public, complex setup
Public Ltd Co (PLC)	Shares sold on stock exchange; stringent reporting	Large capital raised — but: loss of control, takeover risk
Co-operative	Owned and run by members; democratic control	Ethical focus, member benefits — but: slow decision-making
Franchise	Franchisee buys rights to use franchisor's brand/model	Established brand, support — but: royalty fees, restricted freedom
NGO/Non-profit	Social mission; surplus reinvested, not distributed	Social impact — but: dependent on funding, limited growth

STAKEHOLDERS

STAKEHOLDER	INTEREST / OBJECTIVE
Shareholders	Return on investment (dividends, capital growth)
Employees	Fair pay, job security, good working conditions
Customers	Value for money, quality, reliability
Suppliers	Regular orders, prompt payment
Government	Tax revenue, employment, legal compliance
Community	Local employment, environmental responsibility
Managers	Salaries, bonuses, power, career growth

BUSINESS OBJECTIVES

- Profit maximisation — primary objective for private sector
- Revenue/sales maximisation — grow market share (Ansoff, Baumol)
- Market share — competitive position
- Growth — internal (organic) or external (mergers/acquisitions)
- CSR / sustainability — increasingly weighted by IB examiners
- Survival — short-term objective for new or struggling businesses

EXAM TIP

- IB frequently asks to evaluate conflicts between stakeholder groups — prepare pros/cons per stakeholder
- Business objectives can CONFLICT: profit maximisation vs CSR; always show this tension in extended answers

SECTION 1 (CONT.) — BUSINESS GROWTH

INTERNAL vs EXTERNAL GROWTH

INTERNAL (ORGANIC) GROWTH

- Reinvest profits to expand
- Open new branches/locations
- Develop new products (R&D)
- Hire more staff, increase capacity
- Slower but lower risk
- Example: McDonald's opening new locations

EXTERNAL (INORGANIC) GROWTH

- Mergers — two firms combine
- Acquisitions — one firm buys another
- Joint ventures — shared project
- Strategic alliances
- Faster but higher risk & cost
- Example: Facebook acquiring Instagram ($1bn, 2012)

INTEGRATION TYPE	DESCRIPTION & EXAMPLE
Horizontal	Merging with competitor at same stage — e.g., Marriott + Starwood Hotels
Vertical (forward)	Merging with firm closer to end customer — e.g., Netflix producing original content
Vertical (backward)	Merging with supplier — e.g., Apple building own chip factory (TSMC relationship)
Conglomerate	Merging with firm in unrelated industry — e.g., Berkshire Hathaway

ADVANTAGES / PROS

- Synergies: combined cost savings
- Rapid market share gain
- Access to new markets/tech
- Eliminates a competitor

DISADVANTAGES / CONS

- Integration costs and culture clashes
- Dis-economies of scale risk
- Regulatory scrutiny
- Can destroy shareholder value

ANSOFF MATRIX — GROWTH STRATEGIES

EXISTING PRODUCT / NEW PRODUCT →	↓ EXISTING MARKET / NEW MARKET
Market Penetration (low risk)	Existing product + Existing market: Sell more to current customers. e.g., loyalty cards
Product Development (medium risk)	New product + Existing market: Innovate for current customers. e.g., Apple iPhone upgrade
Market Development (medium risk)	Existing product + New market: Enter new geography/segment. e.g., Starbucks in China
Diversification (high risk)	New product + New market: Highest risk. e.g., Virgin entering airlines from music

SECTION 1 (CONT.) — EXTERNAL ENVIRONMENT

PESTLE ANALYSIS

FACTOR	KEY QUESTIONS & EXAMPLES
Political (P)	Government stability, trade policy, tax law, tariffs — e.g., Brexit impact on EU trade
Economic (E)	Interest rates, inflation, exchange rates, GDP growth — e.g., recession reduces consumer spending
Social (S)	Demographics, culture, lifestyle trends, attitudes — e.g., ageing population in Japan
Technological (T)	Automation, AI, e-commerce, R&D investment — e.g., ChatGPT disrupting knowledge industries
Legal (L)	Employment law, consumer protection, IP law — e.g., GDPR in EU affecting data usage
Environmental (E)	Climate policy, sustainability, carbon targets — e.g., EU carbon border tax

SWOT ANALYSIS

S — STRENGTHS (Internal +)

- Core competencies
- Brand recognition
- Cost advantages
- Loyal customer base

W — WEAKNESSES (Internal –)

- Skill gaps
- High cost structure
- Poor brand image
- Limited resources

O — OPPORTUNITIES (External +)

- Emerging markets
- New technology
- Regulatory change
- Competitor weakness

T — THREATS (External –)

- New competitors
- Economic downturn
- Changing consumer taste
- Supply disruption

EXAM TIP

- PESTLE: always APPLY to a specific business context — don't just list definitions
- SWOT: in IB questions, TOWS is often expected — match S→O, S→T, W→O, W→T strategies
- Link PESTLE findings to SWOT: external factors become Opportunities or Threats

QUICK RECALL

- Sole trader = unlimited liability | Ltd = limited liability | PLC = listed on stock exchange
- Stakeholders often have conflicting objectives — always show tension
- Ansoff Matrix: Market Penetration (lowest risk) → Diversification (highest risk)

SECTION 2 — HUMAN RESOURCE MANAGEMENT

MOTIVATION THEORIES

THEORY	KEY IDEAS & APPLICATION
Maslow's Hierarchy	5 levels: Physiological → Safety → Social → Esteem → Self-actualisation. Must meet lower needs first
Herzberg's Two-Factor	Hygiene factors (avoid dissatisfaction: pay, conditions) vs Motivators (satisfaction: recognition, achievement)
Taylor (Scientific Mgmt)	Workers motivated by money only — pay-by-results, specialisation, standardisation
Mayo (Hawthorne)	Social belonging and group dynamics motivate more than pay alone
McGregor Theory X/Y	Theory X: workers dislike work (authoritarian) | Theory Y: workers enjoy work (democratic)
Adams' Equity Theory	Motivation = perceived fairness of treatment relative to others
Vroom's Expectancy	Motivation depends on: Expectancy × Instrumentality × Valence

FINANCIAL vs NON-FINANCIAL MOTIVATION

FINANCIAL MOTIVATORS

- Base salary / wages
- Performance-related pay (PRP)
- Profit sharing
- Fringe benefits (car, pension)
- Bonuses and commissions

NON-FINANCIAL MOTIVATORS

- Job enrichment (Herzberg)
- Job rotation and enlargement
- Empowerment and autonomy
- Flexible working hours
- Recognition and promotion

LEADERSHIP STYLES

LEADERSHIP STYLE	CHARACTERISTICS & WHEN TO USE
Autocratic	Leader makes all decisions; no consultation. Best for: crisis, unskilled workers, tight deadlines
Democratic	Decisions through group consensus; encourages participation. Best for: creative teams, skilled workers
Paternalistic	Leader 'knows best'; acts as parent figure; consults but decides alone
Laissez-faire	Minimal direction; team makes own decisions. Best for: expert, self-motivated professionals
Transactional	Reward/punishment based; clear targets. Best for: sales teams, routine tasks
Transformational	Inspires vision and culture change. Best for: organisations undergoing change

ADVANTAGES / PROS

- Democratic: high morale, creativity, buy-in
- Transformational: builds long-term culture
- Laissez-faire: works well with expert teams

DISADVANTAGES / CONS

- Autocratic: low morale, high turnover
- Democratic: slow decision-making
- Laissez-faire: lack of direction, poor output

EXAM TIP

- Link leadership style to business context — IB always gives a scenario; adapt your answer
- Herzberg: hygiene factors DO NOT motivate — they only prevent dissatisfaction. Common mistake!

SECTION 2 (CONT.) — ORGANISATIONAL STRUCTURE

ORGANISATIONAL STRUCTURES

STRUCTURE TYPE	DESCRIPTION & EXAMPLES
Tall / Hierarchical	Many levels; narrow span of control. Clear authority, slow decisions. Example: military
Flat	Few levels; wide span of control. Fast decisions, less supervision. Example: start-ups
Matrix	Dual reporting lines (function + project). Flexible, cross-functional — but: role confusion
By function	Grouped by department (Marketing, Finance, etc). Specialist expertise — but: silos
By product	Grouped by product line. Clear accountability — but: duplication of resources
By region	Grouped geographically. Local responsiveness — but: inconsistency across regions

- Span of control: number of subordinates one manager directly supervises
- Delegation: assigning authority to a lower level
- Centralisation vs Decentralisation: who holds decision-making power

COMMUNICATION

COMMUNICATION TYPE	DESCRIPTION
Formal	Official channels: memos, reports, meetings, emails
Informal	Grapevine, casual conversation — fast but can distort info
Vertical	Upward (staff → manager) or downward (manager → staff)
Horizontal / Lateral	Between peers at same level
Internal	Within the organisation
External	With customers, suppliers, government

QUICK RECALL

- Maslow: hierarchy — must meet lower needs first | Herzberg: hygiene ≠ motivation
- Autocratic = top-down | Democratic = participative | Laissez-faire = hands-off
- Tall structure = narrow span | Flat structure = wide span

SECTION 3 — FINANCE & ACCOUNTS

KEY FORMULAS — MUST MEMORISE

FORMULA	CALCULATION
Revenue (Turnover)	= Selling Price × Quantity Sold
Cost of Goods Sold (COGS)	= Opening Stock + Purchases – Closing Stock
Gross Profit	= Revenue – COGS
Gross Profit Margin (%)	= (Gross Profit ÷ Revenue) × 100
Net Profit (before tax)	= Gross Profit – Expenses
Net Profit Margin (%)	= (Net Profit ÷ Revenue) × 100
Return on Capital Employed (ROCE)	= (Net Profit ÷ Capital Employed) × 100
Break-Even Output	= Fixed Costs ÷ (Selling Price – Variable Cost per Unit)
Contribution per Unit	= Selling Price – Variable Cost per Unit
Margin of Safety	= Actual Output – Break-Even Output
Current Ratio	= Current Assets ÷ Current Liabilities
Acid Test Ratio	= (Current Assets – Inventory) ÷ Current Liabilities
Gearing Ratio	= (Long-term Debt ÷ Capital Employed) × 100
Inventory (Stock) Turnover	= COGS ÷ Average Inventory
Debtor Days	= (Debtors ÷ Revenue) × 365
Creditor Days	= (Creditors ÷ COGS) × 365

EXAM TIP

- ALWAYS show your working in finance questions — method marks are awarded even if answer is wrong
- State units: GPM = %, ROCE = %, Break-even = units (not £)
- IB often asks you to COMMENT on ratios — don't just calculate; interpret what it means for the business

SECTION 3 (CONT.) — BREAK-EVEN ANALYSIS

BREAK-EVEN CONCEPTS

CONCEPT	DEFINITION & EXAMPLE
Fixed Costs	Costs that do not change with output (rent, salaries, insurance)
Variable Costs	Costs that change in direct proportion to output (materials, direct labour)
Total Costs	= Fixed Costs + Total Variable Costs
Break-even point	Output where Total Revenue = Total Costs (zero profit/loss)
Contribution	Amount each unit sold contributes to covering fixed costs
Margin of Safety	How much output can fall before reaching break-even — measures risk
Target profit output	= (Fixed Costs + Target Profit) ÷ Contribution per Unit

BREAK-EVEN DIAGRAM (DESCRIBED)

Fixed Cost Line — horizontal, starts at FC on y-axis

▼

Total Cost Line — rises from FC intercept with slope = VC per unit

▼

Total Revenue Line — rises from origin with slope = selling price

▼

Break-Even Point — where Revenue line crosses Total Cost line

▼

Margin of Safety — gap between actual output and break-even on x-axis

ADVANTAGES / PROS

- Identifies minimum sales to avoid loss
- Simple tool for pricing decisions
- Useful for 'what-if' scenario analysis
- Clear visual representation for stakeholders

DISADVANTAGES / CONS

- Assumes all output is sold (unrealistic)
- Assumes constant selling price (ignores discounts)
- Ignores economies of scale
- Static — doesn't account for real-world complexity

SOURCES OF FINANCE

SOURCE	TYPE	SUITABLE FOR
Retained profit	Internal	Established businesses with accumulated surplus
Sale of assets	Internal	Asset-rich businesses needing liquidity
Owner's capital	Internal	Start-ups and sole traders
Bank overdraft	External/Short-term	Short-term cash flow issues
Trade credit	External/Short-term	Regular suppliers; delays payment
Bank loan	External/Medium-long	Capital expenditure, expansion
Share issue (equity)	External/Long-term	PLCs needing large capital
Debentures/bonds	External/Long-term	Large companies; fixed interest
Venture capital	External	High-growth start-ups with equity
Crowdfunding	External	New products, creative projects
Government grants	External	SMEs, social enterprises, specific sectors

SECTION 3 (CONT.) — RATIO ANALYSIS

LIQUIDITY RATIOS

RATIO	FORMULA + INTERPRETATION
Current Ratio	= Current Assets ÷ Current Liabilities. Ideal ≈ 1.5–2:1. Below 1 = liquidity risk
Acid Test (Quick Ratio)	= (Current Assets – Inventory) ÷ Current Liabilities. Ideal ≈ 1:1. More stringent than current ratio

PROFITABILITY RATIOS

RATIO	FORMULA + INTERPRETATION
Gross Profit Margin	= (Gross Profit ÷ Revenue) × 100. Shows % revenue left after COGS. Compare to industry average
Net Profit Margin	= (Net Profit ÷ Revenue) × 100. More meaningful than GPM — includes overhead costs
ROCE	= (Net Profit ÷ Capital Employed) × 100. Compares profit to capital invested — key for investors

EFFICIENCY RATIOS (HL EXTENSION)

RATIO	FORMULA + INTERPRETATION
Inventory Turnover	= COGS ÷ Average Inventory. Higher = faster stock turnover (better efficiency)
Debtor Days	= (Debtors ÷ Revenue) × 365. Lower = faster customer payment (better cash flow)
Creditor Days	= (Creditors ÷ COGS) × 365. Higher = longer time to pay suppliers (benefits cash flow)
Gearing	= (Long-term Debt ÷ Capital Employed) × 100. Above 50% = highly geared — higher financial risk

COMMON MISTAKE

- Calculating ratios without explaining what they mean — always add a sentence of interpretation
- Saying 'higher is always better' for ratios — context matters (e.g., very high current ratio may mean idle cash)
- Confusing gross profit margin with net profit margin — GPM ignores overheads

SECTION 4 — MARKETING

MARKET RESEARCH

PRIMARY RESEARCH

- Surveys / questionnaires
- Interviews (structured/unstructured)
- Focus groups
- Observation
- Experiments/trials
- Direct — original data — more relevant but costly

SECONDARY RESEARCH

- Published reports and journals
- Government statistics
- Competitor annual reports
- Internet and media sources
- Indirect — cheaper, faster — but may be outdated

MARKET SEGMENTATION

BASIS OF SEGMENTATION	DESCRIPTION & EXAMPLE
Demographic	Age, gender, income, occupation — e.g., luxury brands targeting high earners
Geographic	Location, region, country — e.g., sunscreen marketed more in tropical markets
Psychographic	Lifestyle, values, personality — e.g., eco-products for environmentally conscious
Behavioural	Purchase occasion, loyalty, usage rate — e.g., frequent flyer programmes

- Targeting: select which segment(s) to focus on
- Positioning: how the product is perceived relative to competitors
- Niche vs Mass marketing — niche = targeted, premium; mass = broad, lower cost per unit

MARKETING MIX — 4Ps / 7Ps

P	KEY CONTENT
Product	Design, features, USP, branding, product range, quality, packaging
Price	Penetration, skimming, competitive, cost-plus, psychological (£9.99), freemium
Place	Distribution channels: direct, retailer, wholesaler, e-commerce, omni-channel
Promotion	Advertising, PR, sales promotion, personal selling, social media, viral marketing
People (7P)	Staff training, customer service — critical for service businesses
Process (7P)	Delivery of service: efficiency, consistency, systems — e.g., Amazon fulfilment
Physical Evidence (7P)	Tangible cues of service quality — premises, packaging, website design

PRICING STRATEGIES

STRATEGY	HOW IT WORKS & WHEN TO USE
Cost-plus (mark-up)	Price = Cost + Mark-up %. Simple, guarantees margin — ignores competition
Penetration pricing	Low initial price to gain market share, then raise. Best for: new entrants
Price skimming	High initial price, lower over time. Best for: innovative/tech products (iPhone launch)
Competitive pricing	Match or slightly undercut rivals. Best for: commoditised markets
Psychological pricing	£9.99 vs £10 — perceived value trick. Best for: retail and FMCG
Predatory pricing	Temporarily price below cost to eliminate competition — can be illegal
Price discrimination	Different prices for same product to different segments (e.g., student discount)

SECTION 4 (CONT.) — PRODUCT LIFECYCLE & BRANDING

PRODUCT LIFECYCLE (PLC)

DEVELOPMENT — R&D costs high; no revenue yet; high risk

▼

INTRODUCTION — Low sales; high promotion costs; may price-skim; loss-making

▼

GROWTH — Sales rising fast; competitors enter; profits rising

▼

MATURITY — Peak sales; most competition; profits plateau; extension strategies

▼

DECLINE — Sales fall; costs cut; product withdrawn or extended

PLC STAGE	MARKETING STRATEGY
Introduction	Penetration or skimming pricing; heavy advertising; selective distribution
Growth	Expand distribution; product variations; competitive pricing
Maturity	Extension strategies: rebranding, new packaging, new markets, price cuts
Decline	Reduce promotion; selective distribution; decide: withdraw or relaunch

EXTENSION STRATEGIES

- New markets — geographic expansion (e.g., Kellogg's in India)
- Product modification — new flavours, sizes, features
- New target segments — reposition for different demographics
- Price reduction — attract more price-sensitive buyers
- Increased promotion — revitalise brand awareness

BRANDING

BRANDING CONCEPT	DEFINITION & BENEFIT
Brand	Name, symbol, or design that distinguishes a product — creates recognition
Brand loyalty	Repeat purchase behaviour — reduces price sensitivity
Brand equity	Value of the brand itself — commands premium pricing
Brand extension	Using existing brand for new product line — reduces launch risk
Rebranding	Changing brand identity to reposition or reach new markets
USP	Unique Selling Proposition — what makes this product different/better

EXAM TIP

- PLC questions: always state the stage, then suggest TWO marketing mix changes — not just one P
- Branding: IB asks to evaluate — so always contrast high brand equity costs vs loyalty benefits
- Market segmentation: link to a specific product and explain WHY that basis is most effective

QUICK RECALL

- 4Ps core | 7Ps for service businesses (add People, Process, Physical Evidence)
- PLC stages: Development → Introduction → Growth → Maturity → Decline

- Penetration = gain share fast | Skimming = max revenue from innovators

SECTION 5 — OPERATIONS MANAGEMENT

PRODUCTION METHODS

METHOD	DESCRIPTION	BEST FOR & EXAMPLES
Job production	One unique product at a time; highly skilled labour	Bespoke products: wedding dress, custom furniture, bridges
Batch production	Groups of identical products; then switches to new batch	Clothing, bread, pharmaceuticals
Mass/flow production	Continuous, high-volume; assembly line; capital-intensive	Cars, electronics, FMCG
Cell production	Teams (cells) produce whole unit or subassembly	Flexible manufacturing; automotive
Lean/JIT production	Produce only what is needed, when needed; zero waste	Toyota Production System; tech components

ADVANTAGES / PROS

- Job production: high customisation, worker skill
- Mass production: low unit cost, consistent quality
- JIT: minimal inventory costs, waste reduced

DISADVANTAGES / CONS

- Job production: expensive, slow, hard to scale
- Mass production: inflexible, high setup cost
- JIT: supply chain disruption risk (COVID showed this)

QUALITY MANAGEMENT

APPROACH	DEFINITION & EXAMPLE
Quality Control (QC)	Inspect products AFTER production to detect defects. Reactive.
Quality Assurance (QA)	Build quality INTO the process. Standards and procedures. Proactive.
Total Quality Management (TQM)	Culture of continuous improvement involving ALL staff at every stage
Benchmarking	Compare performance against industry best or competitors
ISO 9001	International standard for quality management systems
Kaizen (Continuous Improvement)	Japanese philosophy: small, incremental improvements every day, by everyone
Zero defects	Aim to eliminate all errors; first-time quality targets

LEAN PRODUCTION & WASTE ELIMINATION

- Lean production: eliminate all non-value-adding activities ('muda')
- 7 Wastes (Muda): Overproduction, Waiting, Transport, Inventory, Motion, Defects, Over-processing
- Just-In-Time (JIT): components arrive exactly when needed — zero buffer stock
- Kanban: visual signal system to trigger production/replenishment
- 5S: Sort, Set in order, Shine, Standardise, Sustain — workplace organisation

SUPPLY CHAIN MANAGEMENT

CONCEPT	MEANING & EXAMPLE
Supply chain	Sequence from raw material supplier to end consumer
Supplier relationships	Long-term partnerships reduce cost and improve reliability
Outsourcing	Contracting non-core activities to external firms — e.g., Apple manufacturing via Foxconn
Reshoring	Bringing production back to home country — e.g., post-COVID supply chain resilience

Vertical integration	Own more stages of supply chain — control, reduce risk, higher investment

EXAM TIP

- Operations questions: always evaluate trade-offs — JIT reduces cost BUT increases supply risk
- Quality: distinguish QC (inspect after) from QA (prevent before) — very common mistake in exams
- Lean production: give a real example (Toyota) and link to specific waste type eliminated

SECTION 6 — HL EXTENSIONS

HL ONLY

- All content in this section is HL ONLY — SL students focus on core content only

ADVANCED FINANCIAL ANALYSIS (HL)

TOPIC	KEY CONTENT
Investment appraisal: Payback	Time to recover initial investment. Simple, ignores time value of money
Investment appraisal: ARR	= (Avg annual profit ÷ Initial investment) × 100. Ignores timing of cash flows
Investment appraisal: NPV	Discounts future cash flows to present value. Most sophisticated method
Discount factor	= 1 ÷ (1 + r)^n. Reflects time value of money (£1 today > £1 in future)
Cash flow forecast	Projected monthly inflows and outflows; identifies liquidity gaps
Working capital cycle	Cash → Stock → Debtors → Cash. Longer cycle = more funding needed
Contribution costing	Assign only variable costs to products; fixed costs as period costs

STRATEGIC DECISION-MAKING (HL)

TOOL/FRAMEWORK	DESCRIPTION & USE
Porter's Five Forces	Rivalry, new entrants, substitutes, buyer power, supplier power — assess industry attractiveness
Porter's Generic Strategies	Cost leadership, Differentiation, Focus — choose one competitive advantage
BCG Matrix	Stars (high share/growth), Cash Cows (high share/low growth), Question Marks, Dogs
Force Field Analysis	Lewin: driving vs restraining forces; helps manage change
Decision trees	Probability-weighted outcomes; expected value = probability × outcome
Balanced Scorecard	4 perspectives: Financial, Customer, Internal Process, Learning & Growth
Corporate governance	System of rules controlling a company — board structure, executive pay, accountability

BCG MATRIX

STARS (High share / High growth)
Build — invest to maintain position. Future Cash Cows. e.g., Tesla EV 2020–2022

QUESTION MARKS (Low share / High growth)
Decide — invest or divest? High risk, high potential. e.g., new fintech products

CASH COWS (High share / Low growth)
Harvest — generate cash; fund Stars. e.g., Apple iPhone in mature markets

DOGS (Low share / Low growth)
Divest — consider withdrawing; minimal investment. e.g., legacy DVD players

SECTION 6 (CONT.) — GLOBAL BUSINESS & CHANGE (HL)

GLOBALISATION & INTERNATIONAL MARKETING (HL)

CONCEPT	KEY CONTENT
Globalisation	Integration of world economies; cross-border trade, investment, culture
Glocalisation	Global brand + local adaptation — e.g., McDonald's menu varies by country
MNC (Multinational)	Company with operations in multiple countries; FDI
Cultural differences	Hofstede dimensions: individualism, power distance, uncertainty avoidance
Trade barriers	Tariffs, quotas, embargoes — protect domestic industry but raise prices
Exchange rates	Appreciation = exports expensive | Depreciation = exports cheaper
Emerging markets (BRICS)	High growth potential; rising middle class; but: political risk, infrastructure gaps

CHANGE MANAGEMENT (HL)

- Lewin's Force Field Analysis: weigh driving forces vs restraining forces
- Kotter's 8-step change model: Create urgency → Build coalition → Form vision → Communicate → Empower → Quick wins → Build on gains → Anchor change
- Resistance to change: loss of power, fear of unknown, inertia, distrust
- Overcoming resistance: communication, participation, training, incentives

HL ONLY

- HL investment appraisal: always compare NPV with ARR and Payback — explain WHY NPV is more sophisticated
- BCG Matrix: IB often asks to justify strategy for each quadrant — link cash flow logic
- Porter's Five Forces: don't just describe — apply to a specific industry and evaluate strength of each force
- Decision trees: show expected value calculation AND state limitations (probabilities are estimates)

EXAM MASTERY — COMMON MISTAKES

TOP 15 COMMON IB BUSINESS MANAGEMENT MISTAKES

1	**Not applying to the case**	Every answer MUST reference the business in the question — never write generic theory
2	**Describing, not evaluating**	Evaluate = judgement with evidence: 'This IS effective because X; however Y limits this because...'
3	**Ignoring command terms**	Identify = name only | Explain = reason | Discuss = both sides | Evaluate = judgement
4	**One-sided Discuss/Evaluate**	'Discuss' requires BOTH sides — only one side = maximum 50% of marks
5	**Confusing GPM and NPM**	GPM = after COGS only | NPM = after ALL expenses. NPM is a truer measure of profitability
6	**Misinterpreting ratios**	High current ratio not always good — excess cash could be invested better
7	**QC vs QA confusion**	QC = inspect AFTER | QA = build IN before/during. Common exam trick
8	**Herzberg hygiene factors**	Hygiene factors PREVENT dissatisfaction but do NOT motivate — classic student error
9	**Not showing formula in finance**	Always write formula first, then substitute values — method marks are free marks
10	**Ansoff Matrix risk direction**	Market Penetration = lowest risk | Diversification = highest risk
11	**Forgetting limitations**	Every framework (SWOT, PESTLE, BCG) needs a limitations sentence — IB rewards this
12	**Stating, not justifying**	Don't say 'the business should use JIT'. Say 'JIT is appropriate BECAUSE the business faces high holding costs'
13	**Misusing stakeholder theory**	Always show CONFLICT between stakeholder groups — they rarely all want the same thing
14	**Break-even assumes all sold**	Break-even limitation: assumes ALL units produced are sold — unrealistic in volatile markets
15	**PLC extension confusion**	Extension strategies extend Maturity stage — they do NOT restart the whole cycle

EXAM STRATEGY — COMMAND TERMS & ANSWER STRUCTURE

IB COMMAND TERMS — EXACT REQUIREMENTS

COMMAND TERM	WHAT TO DO + MARKS GUIDE
Define	Give precise meaning of a term. 1–2 marks. No examples needed.
Outline	Brief description of main features. 2–4 marks. Minimal elaboration.
Explain	Give reasons/causes with some development. 2–4 marks. Use 'because/therefore'.
Describe	Detailed account — what it is and how it works. 2–4 marks. No evaluation.
Analyse	Break into components, examine relationships and implications. 4–6 marks.
Discuss	Present arguments FOR and AGAINST, then a balanced conclusion. 6–10 marks.
Evaluate	Assess strengths and weaknesses, make a justified judgement. 8–10 marks.
Examine	Consider carefully and evaluate. Similar to 'analyse'. 6 marks.
To what extent	Degree of agreement/disagreement — weigh evidence then conclude. 10 marks.
Compare and contrast	Identify similarities AND differences — use both. 4–6 marks.
Justify	Give valid reasons/evidence to support a recommendation. 4 marks.
Recommend	Propose a course of action with justification. 4–6 marks.

STRUCTURING EXTENDED ANSWERS (6–10 MARKS)

POINT — Make a clear, IB-terminology statement

▼

EXPLANATION — Explain the mechanism or reason (because/therefore)

▼

EVIDENCE — Apply to the specific business in the question

▼

EVALUATION — Advantage, then limitation OR counter-argument

▼

CONCLUSION — Reach a justified judgement or recommendation

- For DISCUSS/EVALUATE: Argument FOR → Evidence → Argument AGAINST → Evidence → Conclusion
- Stakeholder conflicts: state which group benefits AND which loses — then judge
- Quantitative questions: Formula → Calculation → Interpretation → Recommendation

EXAM TIP

- Use real business examples even when not provided — examiners reward applied knowledge
- Conclusion MUST include a judgement word: 'overall', 'therefore', 'on balance', 'to the greatest extent'
- Mark allocation: 2-mark question = 1 specific point; 4-mark = 2 developed points; 8-mark = full PEE structure

KEY TERMS GLOSSARY — BUSINESS MANAGEMENT

TERM	DEFINITION	SECTION
Sole trader	One-person business; unlimited personal liability	Org
Limited liability	Shareholders only lose amount invested — not personal assets	Org
Stakeholder	Any party with an interest in the business outcome	Org
PESTLE	Political, Economic, Social, Technological, Legal, Environmental analysis	Org
SWOT	Strengths, Weaknesses, Opportunities, Threats analysis	Org
Ansoff Matrix	Growth strategy framework: 2×2 product/market grid	Org
Motivation	Internal drive to achieve goals; influenced by needs and rewards	HRM
Maslow	Hierarchy of needs: physiological → safety → social → esteem → self-actualisation	HRM
Herzberg	Two-factor theory: hygiene factors vs motivators	HRM
Span of control	Number of subordinates directly supervised by one manager	HRM
Delegation	Transferring authority to perform tasks to a subordinate	HRM
Gross profit margin	(Gross profit ÷ Revenue) × 100 — after COGS only	Finance
Net profit margin	(Net profit ÷ Revenue) × 100 — after all expenses	Finance
ROCE	(Net profit ÷ Capital employed) × 100 — efficiency of investment	Finance
Break-even	Output level where total revenue = total costs	Finance
Contribution	Selling price – variable cost per unit	Finance
Margin of safety	Actual output – break-even output; shows risk buffer	Finance
Current ratio	Current assets ÷ current liabilities; measures short-term liquidity	Finance
Gearing	Long-term debt as % of capital employed; measures financial risk	Finance
Market segmentation	Dividing market into groups with similar needs/characteristics	Marketing
USP	Unique Selling Proposition — key differentiator from competition	Marketing
4Ps	Product, Price, Place, Promotion — core marketing mix	Marketing
PLC	Product Lifecycle: Development, Introduction, Growth, Maturity, Decline	Marketing
Brand equity	Premium value of a brand name beyond its functional value	Marketing
JIT	Just-In-Time: produce/order only when needed — eliminates inventory costs	Operations
TQM	Total Quality Management: company-wide culture of quality improvement	Operations
Kaizen	Continuous incremental improvement — Japanese lean philosophy	Operations
BCG Matrix	Stars, Cash Cows, Question Marks, Dogs — portfolio analysis (HL)	HL
NPV	Net Present Value: discounted future cash flows — best investment appraisal (HL)	HL
Porter's Five Forces	Competitive analysis: rivalry, entrants, substitutes, buyer/supplier power (HL)	HL

QUICK REVISION — ALL SECTIONS AT A GLANCE

SECTION 1 — BUSINESS ORGANIZATION

- Sole trader = easy setup, unlimited liability | Ltd = limited liability, shares private
- Stakeholders conflict: shareholders (profit) vs employees (wages) vs society (CSR)
- PESTLE = external macro environment | SWOT = internal + external
- Ansoff: Penetration (safe) → Diversification (risky)

SECTION 2 — HRM

- Maslow: meet lower needs before higher can motivate
- Herzberg: hygiene factors PREVENT dissatisfaction; only motivators CREATE satisfaction
- Autocratic = crisis/unskilled | Democratic = skilled/creative | Laissez-faire = experts
- Tall = narrow span, many levels | Flat = wide span, few levels

SECTION 3 — FINANCE

- GPM = after COGS | NPM = after all expenses | ROCE = profit vs capital invested
- Break-even = FC ÷ Contribution per unit | Margin of safety = actual – break-even
- Current ratio ideal ≈ 1.5–2 | Acid test ideal ≈ 1 | Gearing >50% = high risk

SECTION 4 — MARKETING

- 4Ps: Product, Price, Place, Promotion | 7Ps: add People, Process, Physical Evidence
- PLC: Development → Introduction → Growth → Maturity → Decline
- Segmentation bases: demographic, geographic, psychographic, behavioural

SECTION 5 — OPERATIONS

- Job = bespoke/unique | Batch = groups | Mass = continuous/high volume
- QC = check after | QA = prevent before | TQM = whole-company culture
- JIT: eliminates inventory but increases supply chain risk

FINAL CHECKLIST — NIGHT BEFORE THE EXAM

KNOWLEDGE CHECKLIST — CAN YOU...

- Name 5 types of business organization AND state their liability?
- List 6 PESTLE factors with a current real-world example for each?
- Name 5 motivation theories and state one key idea for each?
- Distinguish Herzberg's hygiene factors from motivators with an example?
- Calculate GPM, NPM, ROCE, current ratio, and break-even from raw data?
- Draw (describe) a break-even chart and label ALL key components?
- List all 7Ps and give an example of each for a service business?
- Describe the 5 stages of the PLC with marketing strategy for each stage?
- Compare job, batch, and mass production with real examples?
- Distinguish QC from QA and TQM?
- (HL) Calculate and interpret Payback, ARR, and NPV?
- (HL) Apply BCG Matrix to a portfolio with strategy for each quadrant?
- (HL) Describe Porter's Five Forces for a named industry?

EXAM DAY CHECKLIST

- Read the command term FIRST — it dictates your entire answer structure
- Underline the business name in the question — refer to it in every paragraph
- Every claim needs: Point → Explanation → Evidence → Evaluation
- Discuss/Evaluate: always write BOTH sides, then a conclusion with 'overall'
- Finance questions: write the formula before substituting values
- Time management: 2-mark = 2 min | 6-mark = 8 min | 10-mark = 15 min
- HL Paper 2/3: use specific business examples and named theories
- Check: have you answered ALL parts of multi-part questions?

APPLY. EVALUATE. CONCLUDE.

Reference the business. Show both sides. Make a judgement. Score a 7.